1. Only Rs.50,100 (approx.) is enough to execute the iron condor strategy (compared to Rs. 120,000 in a short strangle). Hence we get a better ROI in the Iron Condor Strategy.
2. The risk is defined here (as we have bought the hedged positions), whereas the loss is unlimited in the short strangle strategy.

This experienced trader collects the total profits of Rs.3,985 if Nifty expires within the range.

At Intraday Level

At 3.15 PM the price details of the options positions are as below:

<u>Main position</u>

15900 CE at 35.05

15750 PE at 41.65

<u>Hedged position</u>

16100 CE at 3.7

15500 PE at 7

So, the premium collected from the main position is 2.7 (from 15900 CE) and 16.35 (from 15750 PE), **so the total points collected is 19.05**

So, the premium deducted from the hedged position is 1.4 (from 16100 CE) and 3.95 (from 15500 PE), **so the total points lost is 5.35**

So total profit (19.05 - 5.35) = 13.7 (approx. 1.4% ROI)

Note: Premium erosion in options varies every day. Usually, it will be highest on Thursday (due to expiry) and less on Friday/Monday. The above example is from Monday, and hence ROI looks smaller. But it increases drastically on Wednesday and Thursday.